

Making Your Money Work For You

The Effect of Compound Interest

Compound interest is the term used to describe how our money can grow on a cumulative basis over time. This is because we don't just earn interest on the amount of our initial deposit, but also, on the interest that we've earned in previous years (i.e. we earn interest upon our interest). Over the medium to long term, the beneficial effects can be significant, as illustrated in the table below (based on a £100,000 deposit):

Year / %	2%	3%	4%	5%	6%	7%
1	£102,000	£103,000	£104,000	£105,000	£106,000	£107,000
5	£110,400	£115,900	£121,700	£127,600	£133,800	£140,300
7	£114,900	£123,000	£131,600	£140,700	£150,400	£160,600
10	£121,900	£134,400	£148,000	£162,900	£179,100	£196,700
20	£148,600	£180,600	£219,100	£265,300	£320,700	£387,000
30	£181,100	£242,700	£324,300	£432,200	£574,300	£761,200

The Effect of Taxation

To really make our money work for us, in addition to seeking a higher rate of return, we can explore options for sheltering it from tax. The tax savings we make will also benefit us on a cumulative basis, as illustrated below:

Basic Rate Tax - 20%

Year / %	2%	4%	6%
1	£101,600	£103,200	£104,800
5	£108,320	£117,360	£127,040
7	£111,920	£125,280	£140,320
10	£117,250	£138,400	£163,280
20	£138,880	£195,280	£276,560
30	£164,880	£279,440	£479,440

Tax Free Growth

2%	4%	6%
£102,000	£104,000	£106,000
£110,400	£121,700	£133,800
£114,900	£131,600	£150,400
£121,900	£148,000	£179,100
£148,600	£219,100	£320,700
£181,100	£324,300	£574,300

There are several ways of sheltering our money from tax, including the use of ISAs, pensions and tax-efficient investments. The above figures are for illustration purposes only.

Further Information & Support

For help with getting the best return on your savings or investments and reducing your exposure to tax, please contact John Castle:

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